How AI Is Redefining the Value of Entry-Level Investment Banking Analysts

Abstract

Artificial intelligence is changing entry-level investment banking less by making junior analysts disappear immediately than by changing which parts of the job create durable value. This paper examines that shift through bank role descriptions, vendor and consulting materials, survey-based workflow evidence, expert commentary, media reporting, industry analysis, and a recent workflow benchmark of junior banking tasks. The evidence points to a consistent pattern: AI is strongest at accelerating repetitive, structured, first-pass work, while human analysts remain necessary for judgment, verification, synthesis, communication, and accountability over the final work product. The paper argues that AI is compressing the value of manual throughput as a standalone differentiator, but it is not making traditional finance skills obsolete. Modeling, valuation, accounting knowledge, attention to detail, responsiveness, and professional communication remain central because they allow analysts to evaluate whether AI-assisted work is accurate, useful, persuasive, and client-ready. The most reasonable near-term conclusion is role redesign rather than full role elimination. That redesign may still create pressure on low-value manual tasks, analyst-class size, and productivity expectations, but the analyst who combines finance depth with disciplined use of AI is likely to become more valuable, not less.

1. Introduction

Artificial intelligence has become a practical career question for finance students and early-career investment banking analysts. The issue is not simply whether AI matters. The more important question is how AI changes the work that junior bankers actually do, what skills banks reward, and which parts of the analyst role still require human ownership. Entry-level investment banking has historically been built around long hours of research, formatting, financial model support, company and market updates, diligence preparation, and first-pass pitch materials. Many of these tasks are structured and repeatable, which makes them natural targets for AI tools.

This paper argues that AI is redefining junior analyst value through task compression rather than immediate role elimination. AI can reduce the time required for first-pass research, summarization, data organization, and presentation support. However, the available evidence does not show that AI systems can reliably produce client-ready investment banking deliverables without human review. The more persuasive interpretation is that the role is being redesigned. Junior analysts will still be expected to execute, but their more durable value will come from verification, judgment, synthesis, communication, and control over the final output.

That distinction matters because investment banking is not only a production process. It is also an apprenticeship system. Analysts learn by building models, checking details, responding to senior banker comments, updating materials under time pressure, and gradually seeing how numbers, markets, clients, and deal logic connect. If AI reduces some first-pass manual work, firms may gain speed, but they may also weaken the training layer that develops future associates, vice presidents, and senior bankers. A serious analysis therefore has to avoid two extremes. It should not claim that junior analysts will simply disappear, but it should also not treat AI as a harmless productivity tool with no effect on hiring, workflow design, or analyst development.

The paper proceeds in four main steps. It first explains the research design and the evidence standard used to evaluate the question. It then analyzes how AI affects repetitive analyst tasks and workflow design. Next, it examines how analyst skill differentiation is changing, especially around judgment and verification. Finally, it assesses whether AI is more likely to augment or replace entry-level analysts in the near term. The central conclusion is balanced: AI is likely to reshape the junior analyst role substantially, but the strongest evidence points toward redesigned human-AI workflows rather than full near-term replacement.

2. Research Design and Source Evaluation

This paper treats the research question as a set of connected claims rather than as a broad technology narrative. The analysis is organized around three issues: how AI changes the value of junior analyst tasks, how it changes the skills that distinguish strong analysts from average analysts, and how banks may redesign workflow around AI-assisted production and human review.

Six hypotheses guide the analysis. H1 is that AI reduces the standalone value of repetitive junior tasks such as first-pass research, summarization, and information organization. H2 is that analyst value shifts toward judgment, verification, synthesis, and communication. H3 is that the ability to verify and refine AI-generated output becomes an important analyst skill alongside core finance knowledge. H4 is that top analysts become differentiated less by manual execution alone and more by critical thinking and disciplined use of AI tools. H5 is that analyst workflow will be redesigned so that AI supports efficiency while humans retain responsibility for higher-value work. H6 is that AI is more likely to augment junior analysts than fully replace them in the near term.

The evidence base is deliberately mixed. It includes vendor product materials, survey-backed workflow evidence, official bank role descriptions, consulting analysis, finance-industry commentary, an AI workflow benchmark, university expert commentary, and media reporting on hiring pressure. No single source type is strong enough by itself. Vendor and consulting sources can show where tools are being built and how firms describe early adoption, but they may overstate efficiency gains. Official role descriptions show what banks still formally ask analysts to do, but they may lag actual workflow changes. Benchmarks can test the quality of AI-generated deliverables, but recent preprints should be interpreted cautiously. Media reporting can reveal hiring pressure, but it often lacks the transparency of direct firm-level data.

For that reason, the paper uses a cautious evidence standard. Stronger evidence is recent, role-specific, transparent, and directly connected to junior investment banking work. Weaker evidence can still be useful when it fits the broader pattern, but it is treated carefully when it is vendor-provided, anonymized, media-only, based on one firm, or indirectly related to entry-level analyst responsibilities. The goal is not to prove a dramatic claim. The goal is to identify what the current evidence most reasonably supports.

3. Repetitive Work and the Compression of First-Pass Production

The clearest area of AI impact is repetitive, structured, first-pass work. In investment banking, that includes gathering company information, summarizing source materials, organizing market data, formatting slides, creating initial pitch-book pages, and transferring source-linked information into Excel or PowerPoint. These tasks do not disappear simply because a tool can accelerate them, but their value changes. When a first draft becomes easier to generate, the analyst is no longer differentiated only by producing the first draft. The analyst is differentiated by knowing whether the draft is accurate, useful, and connected to the deal context.

FactSet's 2025 launch of AI-powered Pitch Creator supports this task-compression view. The product description says the tool can automate parts of model analysis, presentation building, search, formatting, and source-linked research or data transfer into Excel and PowerPoint for investment banks (FactSet, 2025). In practical terms, this targets the same production layer that has historically absorbed a large share of junior analyst time. The source is directly relevant to investment banking workflow, but it is also vendor-provided. It therefore supports H1, while still requiring caution about the scale and reliability of the efficiency claims.

McKinsey provides a related workflow example. In its discussion of generative AI adoption by corporate and investment banks, McKinsey describes a leading investment bank that built a generative AI tool to help analysts create first drafts of pitch books. In that workflow, analysts upload relevant documents, query the chatbot to confirm that it has the required material, instruct the tool to produce slides, and save roughly 30 percent of the time previously spent creating pitch books (Giovine et al., 2023). This example is important because it does not describe AI as replacing the analyst. It describes AI as a drafting layer inside an analyst workflow. The analyst still selects the materials, directs the tool, reviews the output, and remains responsible for the work product.

The limiting evidence is just as important. BankerToolBench, a 2026 benchmark of end-to-end junior investment banking workflows, tested AI agents on deliverables such as models, pitch decks, and reports. It found that even the best tested AI model failed nearly half of the rubric criteria and that none of the tested outputs were rated client-ready (Lau et al., 2026). That finding places an important boundary around the task-compression argument. AI can accelerate early-stage production, but the evidence does not show that it can reliably replace the professional review and quality-control function of a human analyst.

Deloitte's analysis of generative AI in investment banking reinforces the same constraint from a risk perspective. The firm notes that generative AI creates legal, reputational, operational, and governance risks, and that outputs may need constant validation for hallucination, accuracy, and bias (Deloitte Insights, 2023). These risks matter in investment banking because client materials must be accurate, confidential, and defensible. A faster slide or summary is not valuable if it introduces an unsupported claim, misstates a number, violates confidentiality expectations, or weakens client trust.

The task-value conclusion is therefore specific. AI is reducing the value of repetitive first-pass work as a standalone source of analyst differentiation. It is not eliminating the need for human control over the final deliverable. The best description is compression, not removal. AI can move the analyst from blank page to rough draft faster. The analyst still has to decide whether the output is correct, whether the assumptions make sense, whether the narrative fits the client objective, and whether the material is ready to move upward in the deal team.

4. Analyst Skill in an AI-Enabled Workflow

If repetitive first-pass work becomes easier to accelerate, the next question is what separates a strong analyst from an average one. The evidence points to an additive skill shift. AI fluency and verification are becoming more important, but they do not replace finance fundamentals. The strongest analyst profile is not an AI user without finance depth. It is a technically credible analyst who can use AI to move faster, check the output carefully, synthesize information into judgment, and communicate implications clearly.

FactSet Insight's survey-backed research provides direct support for this shift. Based on survey research from 325 investment bankers, the source reports that junior bankers are often consumed by administrative work such as formatting presentations, reconciling data, and updating pitch materials instead of higher-value analysis. It also reports that 60 percent of senior banking leaders said junior staff spend too much time gathering data rather than analyzing it for strategic decisions (FactSet Insight, 2025). This evidence supports the view that the opportunity created by AI is not merely speed. The larger opportunity is to move analyst time from administrative throughput toward analysis, judgment, and decision-useful synthesis.

Rothschild & Co.'s analyst specification provides an important counterweight. The official role description still emphasizes transaction execution, financial modeling and valuation, analytical work, handling numerous simultaneous tasks, attention to detail, and advanced Microsoft Office tools (Rothschild & Co., n.d.). This does not contradict the skill-shift argument. Instead, it prevents the argument from becoming too extreme. Banks still need analysts who can model, value businesses, maintain accuracy, respond quickly, and execute under pressure. AI may change the composition of analyst work, but it does not remove the need for basic banking competence.

JPMorgan Chase & Co.'s Investment Banking Analyst Program shows a similar point. The program describes technical acumen, analytical and interpretive skills, communication, adaptability, resilience, reports, and updated financial models, but it does not explicitly list AI-output correction as a formal requirement (JPMorgan Chase & Co., n.d.). This is useful evidence against the claim that AI verification has already become a fully institutionalized entry-level requirement. At the same time, the absence of explicit AI language does not prove the skill is unimportant. It may simply show that recruiting materials lag the practical changes occurring inside analyst workflows.

BankerToolBench helps explain why verification is likely to matter even if job descriptions do not yet say so directly. If AI-generated banking deliverables are not reliably client-ready, someone must evaluate, correct, and refine them before professional use. For an entry-level analyst, that changes the meaning of technical skill. The analyst does not only need to know how to build a model or format a slide. The analyst also needs enough finance knowledge to catch errors, identify weak logic, question unsupported output, and recognize when a polished AI-generated draft is still wrong.

Industry commentary points in the same direction, although with lower evidentiary weight than direct employer data. Disruption Banking reports that major banks including Citi, Bank of America, and Morgan Stanley are deploying AI tools to automate repetitive junior-level work such as modeling support, pitch-book creation, data scrubbing, and comparable-company analysis. The article argues that as AI takes on more of this work, the differentiator is not simply adopting AI fastest. The more important differentiator is the ability to challenge AI outputs, interpret nuanced results, deliver strategic advice, and understand the numbers, deals, and markets behind the technology (Disruption Banking, 2026). This supports H4, but the conclusion remains limited because the source is industry analysis rather than direct promotion, performance, or recruiting data.

Overall, H2 is the best-supported claim in the paper. Entry-level analyst value is shifting toward judgment, verification, synthesis, and communication, while execution remains essential. The shift is additive rather than substitutive. Analysts still need the traditional toolkit, but they increasingly need to apply it in an AI-enabled environment where first drafts arrive faster and errors may look more polished. In that environment, attention to detail becomes more valuable, not less, because a clean-looking output can still contain faulty assumptions, weak sourcing, or misleading conclusions.

5. Workflow Redesign and the Limits of Automation

The evidence suggests that junior analyst workflow is likely to be redesigned around AI-assisted first-pass work and human review. A useful way to understand the redesigned workflow is to separate drafting from accountability. AI may help gather information, summarize documents, produce initial slide structures, format exhibits, or draft sections of a pitch book. The analyst, however, remains responsible for source selection, assumption checking, numerical accuracy, narrative fit, and escalation of issues that require senior judgment.

This workflow structure fits the McKinsey pitch-book example. The AI tool works only after analysts upload relevant documents, confirm that the tool has the required materials, and instruct it to produce slides (Giovine et al., 2023). That process still depends on human setup and review. It also implies that the quality of AI output depends heavily on the quality of the inputs and the clarity of the analyst's instructions. Poor source selection, vague prompts, or insufficient review can turn a time-saving tool into a risk amplifier.

Deloitte's risk analysis shows why banks cannot treat AI as a fully autonomous production system. Investment banking work involves confidential client information, regulatory considerations, reputational exposure, and high-stakes financial decisions. A workflow that integrates AI therefore needs control points, including approved data sources, human review before circulation, documentation of assumptions, restrictions on confidential information, escalation protocols, and governance around model outputs (Deloitte Insights, 2023). Without those controls, efficiency gains can be offset by accuracy failures, compliance issues, or loss of client trust.

For junior analysts, workflow redesign changes the meaning of ownership. In a traditional workflow, ownership often meant doing the manual work directly: building the page, reconciling the numbers, updating the model, or checking the formatting. In an AI-enabled workflow, ownership increasingly means controlling the process that produces the work. The analyst has to know what to ask for, what sources to use, what assumptions to test, which outputs to reject, and how to turn a draft into a client-ready deliverable. That requires technical knowledge, but it also requires professional skepticism.

This is why H5 is supported but still not fully settled. Evidence from McKinsey and FactSet shows that AI tools are being built for tasks closely connected to junior banking work. Evidence from Deloitte and BankerToolBench shows that those tools cannot be used safely without validation and governance. The combined implication is clear: AI is likely to become part of the junior analyst production process, but the process still needs human orchestration and review. What remains uncertain is the pace of adoption across banks, the consistency of internal policies, and whether firms will formally redesign analyst training around this new workflow.

6. Augmentation, Replacement Pressure, and the Training Problem

The replacement question is the most visible part of the debate, but it is also the least settled. The evidence supports a balanced conclusion. AI is more likely to augment and reshape the junior analyst role in the near term than fully replace it, but augmentation can still create meaningful pressure. If AI reduces the time needed for low-value manual work, banks may expect smaller teams to produce more, adjust analyst-class sizes, or change how junior labor is allocated. Role redesign and hiring pressure can occur even without full role elimination.

The evidence for gradual augmentation comes from Tippie College of Business, which reported the view of Brian Richman, a former Wall Street investment banker and director of the Hawkinson Institute. Richman does not expect significant junior-banker hiring changes right away or a 75 percent analyst-hiring reduction in the next two years. He argues that AI can help immediately with mundane entry-level tasks such as PowerPoint slides and company data gathering, but that Wall Street adoption will need to move deliberately because of regulatory compliance and confidentiality issues (Tippie College of Business, 2024). This evidence is directly focused on junior-banker hiring timing, although it remains expert commentary rather than direct hiring data.

The counterpressure comes from media reporting on replacement risk. Fortune reported that junior Wall Street analysts face AI-driven pressure, including reported consideration of sharply reduced junior hiring at major firms and commentary that replacing juniors with AI is an easy idea to reach (Lane, 2025). This source matters because it shows that the replacement concern is not imaginary. At the same time, the reporting also leaves room for continuing human involvement, which makes the evidence serious but not absolute. The more careful conclusion is that AI may compress junior hiring demand and low-value task demand before it eliminates the analyst role itself.

This conclusion fits the task and skill evidence. If AI output is not reliably client-ready, banks still need analysts who can verify, correct, and prepare materials for senior bankers and clients. If official role descriptions still emphasize modeling, valuation, multitasking, attention to detail, and communication, the core requirements of the analyst role have not disappeared. However, if tools can reduce time spent on formatting, data gathering, and first-pass drafting, then the amount and type of junior labor needed for those tasks may change. Augmentation is therefore not the same as stability. It can involve fewer low-value tasks, higher speed expectations, greater pressure to review AI output effectively, and a narrower tolerance for analysts who only provide manual throughput.

The training problem is the most important long-term issue. Junior analysts often learn judgment by doing the basic work repeatedly: tying numbers, revising slides, checking sources, and seeing how senior bankers change a page or a model. If AI removes too much of that work without replacing it with structured learning, firms may save time in the short run but weaken the apprenticeship system that produces future senior bankers. The risk is not only that AI replaces tasks. The risk is that it short-circuits the process through which analysts learn why the tasks matter.

7. Implications for Analysts and Firms

For candidates and early-career analysts, the practical implication is straightforward: the best entry-level profile is neither a traditional analyst who ignores AI nor an AI user without finance depth. The strongest profile is a finance-first analyst who can use AI carefully. That means knowing how to build and review financial models, understand valuation logic, interpret business drivers, and communicate clearly, while also using AI to accelerate research, summarize source material, organize information, and create first-pass drafts. AI fluency matters most when it is grounded in finance judgment.

This changes how students should think about skill development. Learning to prompt an AI tool is not enough. The more valuable skill is learning how to test the output. An analyst should be able to ask whether the sources are reliable, whether numbers tie across materials, whether the valuation logic is consistent, whether a claim is supported by evidence, and whether a slide tells the right story for the client objective. In other words, the analyst's value moves from pure production toward controlled production. The analyst still produces work, but the more durable value lies in checking, refining, and explaining it.

For firms, the implication is workflow design. Banks can use AI to reduce manual burden and improve speed, but they need to protect quality control and analyst development. If AI removes too much of the first-pass work without replacing it with structured learning, firms may weaken the apprenticeship layer that teaches analysts how to notice mistakes, understand deal materials, and develop commercial judgment. A well-designed AI workflow should therefore preserve training moments, require documented review, and make clear where human accountability begins and ends.

The broader implication is that AI may raise the bar for junior analysts. If everyone can move faster with similar tools, speed alone becomes less distinctive. Analysts will need to show better judgment, cleaner review habits, sharper synthesis, and stronger communication. This does not make the job easier. In some ways, it makes the job more demanding because the analyst may be expected to produce faster while also catching more subtle errors in AI-assisted output. The analyst who only knows how to operate tools will be exposed. The analyst who understands finance deeply and uses tools with discipline will become more valuable.

8. Limitations and Evidence Gaps

The evidence base is strong enough for a careful research conclusion, but it should not be treated as final proof. FactSet appears in the evidence for both task compression and workflow barriers. Its materials are role-relevant, and one source is survey-backed, but FactSet is a vendor and should be corroborated with non-vendor evidence. BankerToolBench is highly relevant because it tests junior investment banking workflows, but it is a recent preprint and should not carry the argument alone. Rothschild & Co. and JPMorgan Chase & Co. provide official role evidence, but each source has limits. Rothschild is one role specification at one firm, while JPMorgan's program page is useful but indirect on AI verification because it does not discuss the issue explicitly.

The consulting and commentary sources also require careful interpretation. McKinsey strengthens the workflow-redesign argument because it describes a stage-level pitch-book drafting process at a leading investment bank, but the bank is anonymized and the example does not prove adoption across the industry. Deloitte is authoritative and investment-banking-specific, but its discussion of risk is broader than junior analyst workflow alone. Disruption Banking strengthens the skill-differentiation argument, but it is still industry analysis rather than direct employer performance data. Tippie's expert commentary is valuable because it focuses directly on junior-banker hiring timing, yet it remains expert opinion rather than direct analyst-class data. Fortune is useful for identifying replacement pressure, but the evidence is media-reported and nuanced.

Several evidence gaps remain open. The most important gap is direct bank-level data on whether analyst class sizes, staffing models, or training programs are changing because of AI adoption. A second gap is whether job postings and analyst-program materials begin to list AI verification, AI-tool fluency, or AI-output review as explicit skills. A third gap is production evidence showing which junior tasks are actually automated inside banks rather than described in vendor, consulting, or media materials. Future research should also examine how analysts, associates, and staffers divide responsibility between AI-assisted first drafts and human review, and whether AI-enabled analysts are evaluated differently from traditional analysts. Finally, regulatory, confidentiality, and client-readiness constraints may slow adoption enough to preserve more traditional junior work than productivity narratives imply.

9. Conclusion

AI is redefining the value of entry-level investment banking analysts by shifting the role from manual throughput toward judgment, verification, synthesis, communication, and execution control. Repetitive first-pass work is becoming easier to accelerate and therefore less reliable as a durable source of differentiation. At the same time, finance fundamentals are not becoming obsolete. Modeling, valuation, accounting knowledge, attention to detail, responsiveness, and communication remain the foundation that allows analysts to evaluate whether AI-assisted work is correct and useful.

The clearest supported claim is H2: junior analyst value is shifting toward judgment, synthesis, verification, and communication while execution remains essential. H1, H3, H4, and H5 are also supported with limits. AI is compressing repetitive junior tasks, making AI-output verification more important, changing the differentiators of strong analysts, and encouraging workflow redesign around AI-assisted first-pass work and human review. H6 is supported with important caveats. AI is more likely to augment and reshape junior analysts than fully replace them in the near term, but augmentation can still involve fewer low-value tasks, higher productivity expectations, and pressure on junior hiring.

For candidates, the practical conclusion is that the strongest profile combines finance depth with disciplined AI use. A candidate should not present AI as a substitute for accounting, valuation, modeling, or attention to detail. The stronger message is that AI can help analysts move faster, but only finance judgment can determine whether the output is correct, persuasive, and client-ready. For firms, AI adoption should be paired with governance and training design. Banks can gain efficiency from AI, but they still need human review, confidentiality protection, professional accountability, and an apprenticeship system that develops future senior bankers.

The final conclusion is therefore neither complacent nor alarmist. AI is unlikely to leave the entry-level analyst role unchanged, and it is also unlikely to make junior analysts disappear immediately. The more realistic outcome is redesign. Analysts who can only perform repetitive manual work may face pressure. Analysts who can combine technical finance skills with verification, synthesis, and controlled AI-enabled execution are likely to become harder to commoditize. In that sense, AI does not remove the need for junior analysts. It changes what junior analysts must prove.

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